

accounting vs. financial management OCF

			Accounting	Financial Management
Net sales		\$1,509	\$1,509	\$1,509
Cost of goods sold		750	750	750
Depreciation_____	_____	<u>65</u>	<u>****</u>	<u>****</u>
EBIT*		\$ 694		
Interest paid_____	_____	<u>70</u>	<u>70</u>	<u>****</u>
Taxable income		\$ 624		
Taxes (21%)_____	_____	<u>131</u>	<u>131</u>	<u>131</u>
Net income		<u>\$ 493</u>	<u>493</u>	<u>493</u>
OCF			493+65 = 558	1509-750-131=628

*Earnings before interest and taxes